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CHAPTER 23

EXCEPTIONS

ARTICLE 23.1

General exceptions

1. For the purposes of Chapter 2 (National Treatment and Market Access for Goods), Chapter 4 (Customs and Trade Facilitation), Section B (Investment Liberalisation) of Chapter 8 [Trade in Services and Investment], Chapter 10 (Digital Trade), Section C of Chapter 13 (State Owned Enterprises)] and Chapter 14 (Energy and Raw Materials) , Article XX of the GATT 1994, including its Notes and Supplementary Provisions, is incorporated into and made part of this Agreement, *mutatis mutandis*.

2. Subject to the requirement that such measures are not applied in a manner which would constitute a means of arbitrary or unjustifiable discrimination between countries where like conditions prevail, or a disguised restriction on investment liberalization or trade in services, nothing in Sections [B] (Investment Liberalisation), [C] (Cross-Border Supply of Services)], [D] (Temporary Presence of Natural Persons for Business Purposes), and [E](Regulatory Framework) of Chapter 8 (Trade in Services and Investment), Chapter 10 (Digital Trade), Section C of Chapter 13 (State-Owned Enterprises)] and Chapter 14 (Energy and Raw Materials)] shall be construed to prevent the adoption or enforcement by either Party of measures:

- (a) necessary to protect public security¹ or public morals or to maintain public order²;
- (b) necessary to protect human, animal or plant life or health; or
- (c) necessary to secure compliance with laws or regulations which are not inconsistent with the provisions of this Agreement including those relating to:
 - (i) the prevention of deceptive and fraudulent practices or to deal with the effects of a default on contracts;
 - (ii) the protection of the privacy of individuals in relation to the processing and dissemination of personal data and the protection of confidentiality of individual records and accounts; or
 - (iii) safety.

3. For greater certainty, the Parties understand that:

- (a) the measures referred to in point (b) of Article XX of GATT 1994 and in point (b) of paragraph 2 of this Article include environmental measures, which are necessary to protect human, animal or plant life or health; and
- (b) point (g) of Article XX of GATT 1994 applies to measures relating to the conservation of living and non-living exhaustible natural resources.

4. For greater certainty, the Parties understand that this Article can only be invoked with respect to measures that are otherwise inconsistent with the provisions of the Chapters or Sections referred to in paragraphs (1) to (3).

¹ For greater certainty, public security may cover measures taken so as to protect critical public infrastructure (whether publicly or privately owned) including communications, power and water infrastructure from deliberate attempts intended to disable or degrade such infrastructure.

² The public security and public order exceptions may be invoked only where a genuine and sufficiently serious threat is posed to one of the fundamental interests of society.

ARTICLE 23.2

Security exceptions

Nothing in this Agreement shall be construed:

- (a) to require a Party to furnish or allow access to any information the disclosure of which it considers contrary to its essential security interests; or
- (b) to prevent a Party from taking an action which it considers necessary for the protection of its essential security interests:
 - (i) connected to the production of or traffic in arms, ammunition and implements of war and to such traffic and transactions in other goods and materials, services and technology, and to economic activities, carried out directly or indirectly for the purpose of supplying a military establishment;
 - (ii) relating to fissionable and fusionable materials or the materials from which they are derived;
 - (iii) taken in time of war or other emergency in international relations; or
- (c) to prevent a Party from taking any action in pursuance of its obligations under the United Nations Charter for the purpose of maintaining international peace and security.

ARTICLE 23.3

Taxation measures

1. For the purposes of this Article:

tax convention means a convention for the avoidance of double taxation or any other international agreement or arrangement relating wholly or mainly to taxation to which the European Union or its Member States or Indonesia is party.

residence means residence for tax purposes.

taxes and taxation measures do not include customs duties.

2. Each Party retain its right to regulate on taxation measures, without prejudice to its rights and obligations under this Agreement.
3. Nothing in this Agreement shall affect the rights and obligations of either Indonesia, or the European Union or any of its Member States, under any tax convention. In the event of any inconsistency between this Agreement and any such tax convention, that convention shall prevail to the extent of the inconsistency.
4. [To the extent MFN articles are included in the respective Chapters:] Articles [...] (Most-favoured nation treatment [Investment Chapter – Cross-Border Supply of Services Chapter – Trade in Goods Chapter]) shall not apply to an advantage accorded by a Party pursuant to a tax convention. For the avoidance of doubt, nothing in this Agreement shall oblige a Party to extend to the other Party the benefit of any treatment, preference or privilege arising from any existing or future tax convention by which the Party is bound.
5. Subject to the requirement that taxation measures are not applied in a manner which would constitute a means of arbitrary or unjustifiable discrimination between countries where like conditions prevail, or a disguised restriction on trade and investment, nothing in this Agreement shall be construed to prevent a Party from adopting, maintaining or enforcing any measure which:
 - a. aims at ensuring the equitable or effective³ imposition or collection of direct taxes;

³ Measures that are aimed at ensuring the equitable or effective imposition or collection of taxes include measures taken by a Party under its taxation system which:

- (i) apply to non-resident investors and service suppliers in recognition of the fact that the tax obligation of non-residents is determined with respect to taxable items sourced or located in the Party's territory; or
- (ii) apply to non-residents in order to ensure the imposition or collection of taxes in the Party's territory; or

- b. aims at preventing the avoidance or evasion of taxes pursuant to the provision of any tax convention or domestic fiscal legislation; or
- c. distinguishes between taxpayers, who are not in the same situation, in particular with regard to their place of residence or with regard to the place where their capital is invested.

ARTICLE 23.4

Disclosure of information

1. Nothing in this Agreement shall be construed to require a Party to make available confidential information, the disclosure of which would impede law enforcement, or otherwise be contrary to the public interest, or which would prejudice the legitimate commercial interests of particular enterprises, public or private except where a panel requires such confidential information in dispute settlement proceedings under Chapter 22 (Dispute Settlement). In such cases, the panel shall ensure that confidentiality is fully protected.

2. When a Party submits information to the Trade Committee or to specialised committees which is considered as confidential under its laws and regulations, the other Party shall treat that information as confidential, unless the submitting Party agrees otherwise.

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- (iii) apply to non-residents or residents in order to prevent the avoidance or evasion of taxes, including compliance measures; or
 - (iv) apply to consumers of services supplied in or from the territory of the other Party in order to ensure the imposition or collection of taxes on such consumers derived from sources in the Party's territory; or
 - (v) distinguish investors and service suppliers subject to tax on worldwide taxable items from other investors and service suppliers, in recognition of the difference in the nature of the tax base between them; or
 - (vi) determine, allocate or apportion income, profit, gain, loss, deduction or credit of resident persons or branches, or between related persons or branches of the same person, in order to safeguard the Party's tax base.

Tax terms or concepts in this paragraph and this footnote are determined according to tax definitions and concepts, or equivalent or similar definitions and concepts, under the domestic law of the Party taking the measure.

ARTICLE 23.5

WTO Waivers

If a right or obligation in this Agreement duplicates one in the WTO Agreement, any measure taken in conformity with a waiver adopted pursuant to Article IX of the WTO Agreement is deemed to be in conformity with the duplicated provision in this Agreement.

